

Table 4.1 Performance of Dallas Cowboy Victory Signal (2000 to 2013)

Year	S&P 500 Return	Cowboy Outcome	Year Ahead Return	Correct Prediction?
2000	−8.34%	Loss	−11.88%	Yes
2001	−11.88%	Loss	−21.78%	Yes
2002	−21.78%	Win	28.72%	Yes
2003	28.72%	Loss	10.98%	No
2004	10.98%	Win	5.23%	Yes
2005	5.23%	Loss	15.69%	No
2006	15.69%	Win	5.76%	Yes
2007	5.76%	Win	−36.46%	No
2008	−36.46%	Win	26.49%	Yes
2009	26.49%	Win	15.35%	Yes
2010	15.35%	Loss	2.11%	No
2011	2.11%	Win	16.00%	Yes
2012	16.00%	Loss	32.39%	No
2013	32.39%	Win	13.69%	Yes

So Wes's uncle might have told himself a great story, but it certainly isn't backed by robust empirical evidence. And even if it were backed by evidence, you would be hard-pressed to raise investment capital to invest in the strategy. Or maybe you wouldn't. We would hope, however, that the “Dallas Cowboys” indicator is a bit far-fetched for most. How about the “52-week low” stock screen? Many of our stock-picking friends love this screen, thinking that 52-week-low stocks are “cheap,” on average, and therefore must offer the potential for great return relative to other stocks in the investment universe. Unfortunately, “52-week-low stocks” are virtually synonymous with what academic researchers call “low-momentum stocks.” Low-momentum stocks, for those who shy away from reading academic finance journals, have been shown to be one of the worst-performing groups of stocks one can choose from.